

While the digitization of most facets of our work has transformed many aspects of our life, nothing has changed related to trading psychology.

Only four powerful emotions revolve around every trader and result in a different impact on their trading psychology.



These four emotions are

- 1) Greed,
- 2) Fear,
- 3) Regret, and
- 4) Hope

Greed

When a trader's mind is filled with greed, he will see all financial and political news as extremely optimistic and ignore negative information. It creates the illusion of rising security prices and a positive outlook in his mind. So, he will take more risk or hold on to his trade, hoping his analysis cannot go wrong.